# FY2026 Year-End Audit · Draft Findings for the CPA

Findings for the CPA from audit procedures; not an audit report and no opinion.

| | |
|---|---|
| **Client** | HANGS Construction Services LLC |
| **Period** | Fiscal year ended June 30, 2026 |
| **Engagement** | The year-end audit: the books recomputed and agreed to the statements, a seeded sample vouched, the search for unrecorded bills, journal entry testing, the dividends, the bank, analytics, and every area's proposed adjustments set against materiality. |
| **Prepared from** | 16 files: the trial balance, the general ledger, the statements, the sample support and vendor invoices, the bank's deposit report, the payables and later payments, the system settings, the warranty schedule, FY2025, the board's minutes, the dividend payments, and the bank's confirmation and June statement |
| **Prepared by** | The F1 Finance Audit Machine, a demonstration. Fixed procedures on invented data; no AI model was used. |
| **Status** | Draft. Not reviewed, concluded or signed. No adjustment has been posted. |

## Materiality, Proposed

| | |
|---|---|
| Contract revenue for the year, the benchmark | $68,989,500.00 |
| Materiality: 0.5% of revenue, rounded down | $340,000.00 |
| Performance materiality: 75% | $255,000.00 |

## What the Procedures Found

| Procedure | What was found | Amount |
|---|---|---|
| **Tie-out** | One revenue entry posted after the close, with no support (TOP-01) | $48,000.00 |
| **Unrecorded bills** | June work and interest missing from the June 30 books (UL-01 to UL-04) | $247,985.00 |
| **Sample** | One pick's invoice is only a picture; a person keys it (VOU-01) | $766,537.20 |
| **Vendor invoices** | A change order billed and never booked, clearly trivial (INV-01) | $840.00 |
| **Vendor invoices** | An invoice billed to the affiliate, booked by HCS (AFF-01) | $7,891.34 |
| **Warranty** | The reserve rests on a job-by-job schedule; the stated basis says 1% (EST-01) | $125,000.00 |
| **Dividends** | Four quarterly dividends agree with the board and the bank | $360,000.00 |
| **Bank** | Cash and the loans tie to the bank's own letter and statement | $5,554,191.74 |

**Signature: none. This memo is not an audit report and expresses no opinion. The CPA reviews the workpapers, decides every open item and concludes. No adjustment has been posted.**

DRAFT FOR THE CPA

# Draft Findings Memo

## Against Materiality

| | |
|---|---|
| **Known misstatements of FY2026 income, every area** | **$559,962.23** |
| Performance materiality | $255,000.00 |
| Materiality | $340,000.00 |

## What was done

The machine recomputed the trial balance from the June 30, 2025 balances and every FY2026 line, agreed the statements, drew and vouched a seeded sample, traced every invoice on file, matched every receipt to the bank, searched the payments after June 30, ran the seven journal filters and followed up every high-risk entry, rolled the warranty reserve forward, agreed the dividends to the board, tied cash and the loans to the bank and compared the year with last year.

## Against materiality

This run’s TOP-01 and UL-01 to UL-04 and the other areas’ WIP-01, AR-01, SE-01, SE-02, ACC-01, FEE-01 and the equipment audit’s net add up to more than materiality. Left unrecorded, they would be a material misstatement; management decides whether to record them. The balance sheet also leaves out the equipment audit’s lease liabilities.

## What the CPA decides before concluding

1. Whether management records the adjustments, and if not, the effect on the report (SUM-01). 2. CROSS-01 and EST-01. 3. Whose cost AFF-01 is. 4. The unread invoice (VOU-01). 5. Final materiality (MAT-01).

## What the machine does not do

It does not give an opinion, post an adjustment, sign anything or send the memo. The CPA concludes; the machine stops here.

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AUDIT FINDINGS · FOLLOW THE EVIDENCE

# Materiality · Contract Revenue, the Benchmark

# $68,989,500.00

## Workbook: Planning!B15

Draft figure · the CPA reviews and concludes

**Planning!B15 = $68,989,500.00**

=B9

**Planning!B9 = $68,989,500.00**

=-('E01 Trial Balance'!D35+'E01 Trial Balance'!D36)

**E01 Trial Balance!D35 = ($68,928,250.00)**

**E01 Trial Balance!D36 = ($61,250.00)**

**Source files and cells (the full formula chain is in the workbook and on the review screen):**

01 Client Accounting/FY2026 trial balance.xlsx · Trial Balance!D35, Trial Balance!D36

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Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

# Materiality · Materiality, Proposed

# $340,000.00

## Workbook: Planning!B16

Draft figure · the CPA reviews and concludes

**Planning!B16 = $340,000.00**

=ROUNDDOWN(B15*B29/10000,0)*10000

**Planning!B15 = $68,989,500.00**

=B9

**Planning!B9 = $68,989,500.00**

=-('E01 Trial Balance'!D35+'E01 Trial Balance'!D36)

**E01 Trial Balance!D35 = ($68,928,250.00)**

**E01 Trial Balance!D36 = ($61,250.00)**

**Planning!B29 = 0.500%**

**Source files and cells (the full formula chain is in the workbook and on the review screen):**

01 Client Accounting/FY2026 trial balance.xlsx · Trial Balance!D35, Trial Balance!D36

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AUDIT FINDINGS · FOLLOW THE EVIDENCE

# Materiality · Performance Materiality

# $255,000.00

## Workbook: Planning!B17

Draft figure · the CPA reviews and concludes

**Planning!B17 = $255,000.00**

=ROUND(B16*0.75,2)

**Planning!B16 = $340,000.00**

=ROUNDDOWN(B15*B29/10000,0)*10000

**Planning!B15 = $68,989,500.00**

=B9

**Planning!B9 = $68,989,500.00**

=-('E01 Trial Balance'!D35+'E01 Trial Balance'!D36)

**E01 Trial Balance!D35 = ($68,928,250.00)**

**E01 Trial Balance!D36 = ($61,250.00)**

**Planning!B29 = 0.500%**

**Source files and cells (the full formula chain is in the workbook and on the review screen):**

01 Client Accounting/FY2026 trial balance.xlsx · Trial Balance!D35, Trial Balance!D36

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Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

# Tie-Out · Unsupported Revenue Entry (TOP-01)

# $48,000.00

## Workbook: Journals!B18

Draft figure · the CPA reviews and concludes

**Journals!B18 = $48,000.00**

='E02 General Ledger'!H1268

**E02 General Ledger!H1268 = $48,000.00**

**Source files and cells (the full formula chain is in the workbook and on the review screen):**

01 Client Accounting/FY2026 general ledger.xlsx · Entries!H1268

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Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

# Unrecorded Bills · Missing at June 30 (UL-01 to UL-04)

# $247,985.00

## Workbook: Unrecorded!B14

Draft figure · the CPA reviews and concludes

**Unrecorded!B14 = $247,985.00**

=SUM(B8:B11)

**Unrecorded!B8 = $186,400.00**

=ROUND('E09 Payments'!E27/0.95,2)

**E09 Payments!E27 = $177,080.00**

**Unrecorded!B9 = $23,480.00**

='E06 Vellumrow Print'!B42

**E06 Vellumrow Print!B42 = $23,480.00**

**Unrecorded!B10 = $9,440.00**

=ROUND('E09 Payments'!E16+'E09 Payments'!E24-'E08 Accrued Liabilities'!B12,2)

**E09 Payments!E16 = $4,980.00**

**E09 Payments!E24 = $10,660.00**

**E08 Accrued Liabilities!B12 = $6,200.00**

**Unrecorded!B11 = $28,665.00**

='E09 Payments'!E8+'E09 Payments'!E9

**E09 Payments!E8 = $17,040.00**

**E09 Payments!E9 = $11,625.00**

**Source files and cells (the full formula chain is in the workbook and on the review screen):**

06 Bank Statements/July to September 2026 payments.xlsx · Disbursements!E27, Disbursements!E16, Disbursements!E24, Disbursements!E8, Disbursements!E9

03 Vendor Documents/Vendor invoices printed from Vellumrow.pdf · PDF pages 1 to 13, one invoice per page as printed from Vellumrow: number, date, company billed, lines and amount due

01 Client Accounting/June 30 2026 payables and accruals.xlsx · Accrued Liabilities!B12

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Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

# Sample · Pick With No Readable Invoice (VOU-01)

# $766,537.20

## Workbook: Sample!B14

Draft figure · the CPA reviews and concludes

**Sample!B14 = $766,537.20**

='E02 General Ledger'!H989

**E02 General Ledger!H989 = $766,537.20**

**Source files and cells (the full formula chain is in the workbook and on the review screen):**

01 Client Accounting/FY2026 general ledger.xlsx · Entries!H989

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Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

# Vendor Invoices · Change Order Not Booked (INV-01)

# $840.00

## Workbook: Sample!B43

Draft figure · the CPA reviews and concludes

**Sample!B43 = $840.00**

=ROUND('E06 Vellumrow Print'!B30-'E02 General Ledger'!H1115,2)

**E06 Vellumrow Print!B30 = $7,153.07**

**E02 General Ledger!H1115 = $6,313.07**

**Source files and cells (the full formula chain is in the workbook and on the review screen):**

03 Vendor Documents/Vendor invoices printed from Vellumrow.pdf · PDF pages 1 to 13, one invoice per page as printed from Vellumrow: number, date, company billed, lines and amount due

01 Client Accounting/FY2026 general ledger.xlsx · Entries!H1115

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Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

# Vendor Invoices · Billed to the Affiliate (AFF-01)

# $7,891.34

## Workbook: Sample!B44

Draft figure · the CPA reviews and concludes

**Sample!B44 = $7,891.34**

='E06 Vellumrow Print'!B33

**E06 Vellumrow Print!B33 = $7,891.34**

**Source files and cells (the full formula chain is in the workbook and on the review screen):**

03 Vendor Documents/Vendor invoices printed from Vellumrow.pdf · PDF pages 1 to 13, one invoice per page as printed from Vellumrow: number, date, company billed, lines and amount due

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Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

# Warranty · Warranty Reserve (EST-01)

# $125,000.00

## Workbook: Warranty!B14

Draft figure · the CPA reviews and concludes

**Warranty!B14 = $125,000.00**

=SUM(B8:B13)

**Warranty!B8 = $36,000.00**

='E11 Warranty'!G8

**E11 Warranty!G8 = $36,000.00**

**Warranty!B9 = $14,000.00**

='E11 Warranty'!G9

**E11 Warranty!G9 = $14,000.00**

**Warranty!B10 = $18,000.00**

='E11 Warranty'!G10

**E11 Warranty!G10 = $18,000.00**

**Warranty!B11 = $12,000.00**

='E11 Warranty'!G11

**E11 Warranty!G11 = $12,000.00**

**Warranty!B12 = $20,000.00**

='E11 Warranty'!G12

**E11 Warranty!G12 = $20,000.00**

**Warranty!B13 = $25,000.00**

='E11 Warranty'!G13

**E11 Warranty!G13 = $25,000.00**

**Source files and cells (the full formula chain is in the workbook and on the review screen):**

07 Client Correspondence/Warranty reserve schedule June 30 2026.xlsx · Warranty Reserve!G8, Warranty Reserve!G9, Warranty Reserve!G10, Warranty Reserve!G11, Warranty Reserve!G12, Warranty Reserve!G13

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Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

# Dividends · Dividends, Account 3100

# $360,000.00

## Workbook: Dividends!B12

Draft figure · the CPA reviews and concludes

**Dividends!B12 = $360,000.00**

=SUM(B8:B11)

**Dividends!B8 = $90,000.00**

='E02 General Ledger'!H239

**E02 General Ledger!H239 = $90,000.00**

**Dividends!B9 = $90,000.00**

='E02 General Ledger'!H555

**E02 General Ledger!H555 = $90,000.00**

**Dividends!B10 = $90,000.00**

='E02 General Ledger'!H849

**E02 General Ledger!H849 = $90,000.00**

**Dividends!B11 = $90,000.00**

='E02 General Ledger'!H1203

**E02 General Ledger!H1203 = $90,000.00**

**Source files and cells (the full formula chain is in the workbook and on the review screen):**

01 Client Accounting/FY2026 general ledger.xlsx · Entries!H239, Entries!H555, Entries!H849, Entries!H1203

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Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

# Bank · Operating Account, Confirmed

# $5,554,191.74

## Workbook: Bank!B8

Draft figure · the CPA reviews and concludes

**Bank!B8 = $5,554,191.74**

='E15 Bank Confirmation'!B8

**E15 Bank Confirmation!B8 = $5,554,191.74**

**Source files and cells (the full formula chain is in the workbook and on the review screen):**

05 Confirmations/Cinderbrook Bank confirmation.pdf · PDF page 1; the balances on deposit, the loans and their accrued interest, signed by the bank

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Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

# Summary · Known Misstatements, Every Area

# $559,962.23

## Workbook: Adjustments!B20

Draft figure · the CPA reviews and concludes

**Adjustments!B20 = $559,962.23**

=SUM(B8:B19)

**Adjustments!B8 = $48,000.00**

='E02 General Ledger'!H1268

**E02 General Ledger!H1268 = $48,000.00**

**Adjustments!B9 = $186,400.00**

='Unrecorded'!B8

**Unrecorded!B8 = $186,400.00**

=ROUND('E09 Payments'!E27/0.95,2)

**E09 Payments!E27 = $177,080.00**

**Adjustments!B10 = $23,480.00**

='Unrecorded'!B9

**Unrecorded!B9 = $23,480.00**

='E06 Vellumrow Print'!B42

**E06 Vellumrow Print!B42 = $23,480.00**

**Adjustments!B11 = $9,440.00**

='Unrecorded'!B10

**Unrecorded!B10 = $9,440.00**

=ROUND('E09 Payments'!E16+'E09 Payments'!E24-'E08 Accrued Liabilities'!B12,2)

**E09 Payments!E16 = $4,980.00**

**E09 Payments!E24 = $10,660.00**

**E08 Accrued Liabilities!B12 = $6,200.00**

**Adjustments!B12 = $28,665.00**

='Unrecorded'!B11

**Unrecorded!B11 = $28,665.00**

='E09 Payments'!E8+'E09 Payments'!E9

**Source files and cells (the full formula chain is in the workbook and on the review screen):**

01 Client Accounting/FY2026 general ledger.xlsx · Entries!H1268

06 Bank Statements/July to September 2026 payments.xlsx · Disbursements!E27, Disbursements!E16, Disbursements!E24, Disbursements!E8, Disbursements!E9

03 Vendor Documents/Vendor invoices printed from Vellumrow.pdf · PDF pages 1 to 13, one invoice per page as printed from Vellumrow: number, date, company billed, lines and amount due

Original documents are attached to this PDF. The workbook is attached too.

01 Client Accounting/June 30 2026 payables and accruals.xlsx · Accrued Liabilities!B12

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# WHAT STILL NEEDS A PERSON

COV-01 · $62,767.16: June 30 tangible net worth is $6,997,195.07, $497,195.07 above the loan agreement's $6,500,000.00 minimum before adjustments (the covenant procedures, which tested the books as recorded). Recording all $559,962.23 of known misstatements would leave it $62,767.16 short; net of CROSS-01, $142,068.00 above. The subsequent events review found it holds after its own SE-01 and SE-02. Whether the covenant is met depends on the adjustments management records; the CPA evaluates it with the bank's terms.

SUM-01 · $559,962.23: Known misstatements of FY2026 income add up to $559,962.23, 164.7% of the $340,000.00 materiality, above it even with CROSS-01. Management decides whether to record them; the CPA concludes on the statements.

TOP-01 · $48,000.00: 26-01261 (AJ-26-0633) credits Pier 9 revenue $48,000.00, posted Saturday, August 8, 2026 at 9:41 PM after the trial balance was exported, with no support, set to reverse July 2. Revenue and account 1300 overstated. The journal entry testing's OVR-01 asks the officers about it.

UL-01 · $186,400.00: Sound Ridge Mechanical Inc.'s SRM-2604-07: $186,400.00 of June work on Pier 9, received July 9, 2026, booked in July. Job cost, payables and retainage payable short.

UL-02 · $23,480.00: Pellham & Quist LLP's 2026-0712: $23,480.00 for May 4 to June 30, 2026, unpaid and unrecorded.

UL-03 · $9,440.00: June utilities $15,640.00 against $6,200.00 accrued.

UL-04 · $28,665.00: June interest $28,665.00, confirmed by the bank, debited July 1, not accrued.

AREAS-01 · $263,977.23: Brought forward from the area workpapers, each by its own id and amount: WIP-01 $103,600.00 (Work in progress: Pier 9 CO-07 revenue the signed change order does not support); AR-01 $28,600.00 (Receivables: Kestrel Point credit agreed June 18, recorded in July); SE-01 $76,935.00 (Subsequent events: Corliss settlement below the billing); SE-02 $41,250.00 (Subsequent events: Brindlewood liquidated damages, final); ACC-01 $2,892.10 (Payroll: Employer taxes on the accrued wages); FEE-01 $4,065.00 (Cash: Payroll account bank charges never recorded); FA-NET $6,635.13 (Equipment: SALE-01, CAP-01, DEP-01 and LEASE-01, net).

CROSS-01 · $204,835.16: If UL-01 is recorded, Pier 9's cost-to-cost revenue rises $204,835.16 (the liabilities area's CROSS-01); the CPA settles it with the job schedule testing.

VOU-01 · $766,537.20: Sample pick SRM-2605-1185 ($766,537.20) has no readable invoice; page 13 of the Vellumrow print is a picture. A person keys it.

INV-01 · $840.00: SBS-2606-1004: a $840.00 change order billed and never booked. Clearly trivial: listed, not added up.

AFF-01 · $7,891.34: CSC-2606-1017 is billed to Juniper Ridge Partners LLC for a survey of its own land; HCS booked it in its June 30 payables. Whose cost it is, and what it means for the related party note and the amounts due from the affiliate, is for the CPA.

EST-01 · $125,000.00: The warranty reserve, $125,000.00, rests on the Controller's job-by-job schedule; the accruals schedule still gives 1% of completed contracts ($810,300.00). The CPA judges the estimate.

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# WHAT STILL NEEDS A PERSON, CONTINUED

SELF-01 · $26,900.00: 26-01259, the depreciation true-up, was approved by the Controller who prepared it.

LEASE-01 · $2,100,383.96: The equipment audit's lease liabilities, $2,100,383.96, are not on the balance sheet; the crane rental found in stage 3 is one of them.

MAT-01 · $340,000.00: Materiality is proposed at $340,000.00, 0.5% of revenue. The engagement partner sets it.

SIGN-01: These are draft workpapers and a draft findings memo for the engagement partner. They are not an audit report and give no opinion. Nothing has been posted, signed or sent.

**This memo is a draft for the engagement partner. It is not an audit report and expresses no opinion; nothing has been signed, posted or sent.**

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